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What's News

Business & Finance

- ◆ **Consumer prices rose** briskly in January, extending a recent pattern of price increases at the start of the year that likely derails the prospect of the Fed's cutting interest rates anytime soon. **A1**
- ◆ **U.S. stocks ended** mixed after the release of the inflation report, with the S&P 500 and Dow falling 0.3% and 0.5%, respectively, and the Nasdaq rising by less than 0.1%. **B11**
- ◆ **The NYSE plans** to launch a fully electronic exchange in Dallas in an apparent response to the embryonic Texas Stock Exchange. **B11**
- ◆ **SoftBank reported** a quarterly loss, partly due to weakness in its technology-funds business, as it geared up for a giant artificial-intelligence infrastructure project. **B1**
- ◆ **Chevron said it plans** to cut its workforce by as much as 20% as part of an effort to reduce costs by up to \$3 billion by the end of 2026. **B1**
- ◆ **Sean Combs sued** NBC-Universal, Peacock and Apple over a documentary about his life, alleging that the film contains defamatory statements. **B1**
- ◆ **Kraft Heinz said** quarterly sales fell 4.1%, undercut by shifting consumer behavior and a decline in its business in restaurants. **B3**
- ◆ **Shares of Alibaba** surged as the e-commerce giant made progress in its partnership with Apple to roll out artificial-intelligence features in China. **B4**
- ◆ **Ride-sharing company** Lyft warned investors of a coming deceleration in bookings growth as it engages in a pricing war with Uber. **B4**

World-Wide

- ◆ **Trump said that he** and Russia's Vladimir Putin agreed in a "lengthy and highly productive phone call" to open immediate talks to end the war in Ukraine. **A1**
- ◆ **U.S. intelligence agencies** concluded during the final days of the Biden administration that Israel was considering significant strikes on Iranian nuclear sites this year. **A1**
- ◆ **The Trump administration** stepped up its immigration fight against New York, announcing a suit against state officials and clawing back millions in federal funding earmarked for migrants. **A3**
- ◆ **The ACLU sued** the Trump administration for access to migrants transported from the U.S. mainland to Guantanamo. **A3**
- ◆ **A Russian awaiting** sentencing after admitting money-laundering conspiracy was set to be freed from U.S. custody a day after Russia freed American teacher Marc Fogel. **A7**
- ◆ **House Republicans** released the first blueprint of a bill that would cut taxes, reduce spending and provide money for border enforcement. **A4**
- ◆ **The Senate voted** largely along party lines to confirm Tulsi Gabbard as director of national intelligence after she overcame Republicans' doubts about her candidacy. **A4**
- ◆ **A judge allowed** the Trump administration to proceed with its buyout offer encouraging federal workers to resign, rejecting an attempt by unions to pause the effort. **A6**
- ◆ **Eight inspectors general** fired by Trump in late January sued the administration, alleging that their termination violated the law. **A4**

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Hot Inflation Chills Rate Cuts

Consumer prices rise 3%, likely putting on hold any move by Fed to loosen policy

By JEANNE WHALEN AND NICK TIMIRAO

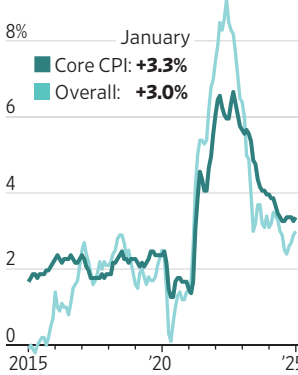
Consumer prices rose briskly in January, extending a recent pattern of price increases at the start of the year that likely derails the prospect for Federal Reserve rate cuts anytime soon. The Labor Department said Wednesday that prices rose last month 0.5% from Decem-

ber on a seasonally adjusted basis. That was the largest monthly increase since August 2023 and well ahead of economists' expectations for a milder increase of 0.3%. The gain pushed 12-month inflation to 3% in January. That marked a pickup from December, when prices rose 2.9%. Stock prices fell, while bond yields jumped. The Dow Jones Industrial Average fell 225 points, or 0.5%, while the S&P 500 declined by 0.3%. "Inflation has now been around these rates for some time and clearly isn't coming down decisively any more," said Paul Ashworth, chief

North America economist at Capital Economics. Egg prices rose more than 15% from December, the largest increase since June 2015. That accounted for about two-thirds of the total monthly increase in grocery prices. A bird flu outbreak is fueling the price increase. Inflation was a key factor in the November election. Many voters were fed up with higher prices and thought that putting a new party in power would help. Please turn to page A2

◆ **Reciprocal tariffs to shift trading norms..... A2**

Consumer-price index, change from a year earlier



Note: Core excludes food and energy prices. Source: Labor Department

Snow Turns Capitol Hill Into a Slippery Slope



LEGISLATIVE RIDERS: James Prince, 4, and Olivia Averyt, 4, sled at the U.S. Capitol on Wednesday after snow blanketed the region, closing schools. Despite the weather, both houses of Congress stayed in session.

These Families Beat Health Insurers

Few appeal denied medical claims, but those who do are often successful

By JULIE WERNAU

CUMMING, Ga.—After three years of doctors' visits and \$40,000 in medical bills didn't cure their daughter's rare condition, April and Justin Beck found a specialist three states away who offered a promising treatment. They set out before dawn last spring for the nine-hour drive to Arkansas Children's Hospital in Little Rock, where Dr. Aravindhan Veerapandian explained how infusions of antibodies could help Emily, now 9 years old, and her

misfiring immune system. They returned home with an appointment to start the infusions. But the Becks' insurer, UnitedHealthcare, declined to pay for a treatment it said wasn't medically necessary. They decided to fight back. "I really had no idea it was going to be this hard," April Beck said. Health insurers process more than five billion payment claims annually, federal figures show. About 850 million are denied, according to Please turn to page A8

Is Repeating A Name Cool Or Creepy?

Subtle tactic, long used to get ahead, can backfire

By ALYSSA LUKPAT

Greg Fahey says there's a trick that has helped him recruit college athletes and make friends with powerful people. When he meets someone, he repeats their name in conversation and sometimes writes the moniker in his phone to aid his memory. "I view it as the superpower we all have that no one uses," said Fahey, a 33-year-old basketball coach at Hampton University in Virginia. Politicians, executives and others have long used this subtle tactic to get ahead. But as a new wave of professionals Please turn to page A10

INSIDE



JASON GAY
L.A. has another must-see basketball sensation. It's not Luka, it's JuJu. **A12**

PERSONAL JOURNAL
What to know about the risk of bird flu, as public-health experts advise caution. **A9**

Israel Eyes Striking Iran's Nuclear Sites

U.S. intelligence agencies concluded during the final days of the Biden administration that Israel is considering significant strikes on Iranian nuclear sites this year, aiming to take advantage of Iran's weakness, officials familiar with the report said.

By Jared Malsin, Alexander Ward and Dov Lieber

The finding was included in an analytical assessment produced around the new year as the Biden administration wound down. The analysis highlighted the risks of further high-stakes military activity in the Middle East after the degradation of Iran's capa-

bilities over the past year. The intelligence analysis concluded Israel would push the Trump administration to back the strikes, viewing him as more likely to join an attack than former President Joe Biden and fearing the window for halting Tehran's pursuit of a nuclear weapon was closing, two of the people familiar with the intelligence said. The U.S. intelligence community produced a second report delivered during the early days of President Trump's administration reiterating that Israel is considering such strikes on Iranian nuclear facilities, according to one of the U.S. officials familiar with the intelligence. Please turn to page A7

U.S. Bank Regulators Face President's Scalpel

Trump administration officials are discussing plans to curtail and combine the power of banking regulators—without Congress's input.

By Gina Heeb, Brian Schwartz and AnnaMaria Andriotis

In recent discussions, Trump advisers and allies examined whether it is possible to collapse the Federal Deposit Insurance Corp. into the Treasury Department, according to people familiar with the matter. They also discussed combining the FDIC's regulatory role with the Office of the Comptroller of the Currency under Treasury. The Trump administration already took aim at one financial regulator, the Consumer Financial Protection Bureau. President Trump over the weekend installed Russell Vought, the head of the Office of Management and Budget, as

acting head of the CFPB. Alongside the Elon Musk-led Department of Government Efficiency, Vought moved at breakneck speed to close the CFPB headquarters and order staff to halt work. On Tuesday evening, Trump nominated Jonathan Gould, a former OCC official, to run the OCC and Jonathan McKernan, who had been at the FDIC until this week, to run the CFPB. Staff inside the FDIC and the OCC expect to hear from DOGE soon, according to people familiar with the matter. Discussions on how to shrink, consolidate or even eliminate the bank regulators have been under way since at least late last year, The Wall Street Journal reported. Those discussions included combining or otherwise restructuring the FDIC, OCC and the Federal Reserve. Please turn to page A6

◆ **Judge lifts freeze on worker buyouts..... A6**

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